

Philadelphia

Industrial - Q1 2026

savills

Quarterly occupancy gains double Q1 2025 levels

Quarterly net absorption fell by 13.3% to 2.6 million square feet (msf) compared to year-end 2025. However, it was more than double Q1 2025 levels. Logistics providers were active this quarter. Olam International Ltd. took occupancy of 574,480 square feet (sf) at 198 Democrat Road in Gloucester County while L&M Distribution moved into 382,000 sf at 1151 Beaver Street in Bucks County. In addition, Creative Innovation, Inc. moved into 704,000 sf at 207 Route 73 South in Burlington County.

Regional vacancy fell for the second consecutive quarter, declining 40 basis points (bps) from Q4 2025 to 10.7%. Southeast PA recorded a 70-bps decrease in quarterly vacancy to 10.4%. Southern NJ's rate remained flat at 11.7% while Northern DE's vacancy rate was the only submarket to experience an increase, rising 20 bps to 8.7%.

Build-to-suit projects grab a bigger share of the pipeline

Development activity remained muted with 3.6 msf currently under construction. Build-to-suit projects are capturing a larger share of the construction pipeline accounting for 38.1% of current development—up from 8.0% in Q4 2025. There remains enough unleased recently built speculative space on the market that some developers are hesitant to break ground without an anchor tenant.

During the quarter, another new project was announced for Philadelphia's Bellwether District. A 250,000-sf manufacturing facility will be built for nuclear medicine company TerraPower Isotopes. This comes on the heels of last quarter's announcement of a new manufacturing facility for DrinkPak.

Rents rise in Southeastern PA and Southern NJ

The regional average rent remained flat year over year but rose 2.8% quarter over quarter to \$12.06 per square foot (psf). Quarterly rent gains were recorded in the Southeast PA (+3.9%) and Southern NJ (+2.6%) submarkets while Northern DE decreased by less than 1.0%.

KEY STATISTICS

	Q1 2025	Q1 2026	Y-O-Y
Inventory	405.7 msf	415.8 msf	+10.1 msf
Vacancy rate	9.4%	10.7%	+130 bps
Asking rental rate	\$12.09	\$12.06	-0.3%
Net absorption YTD	1.1 msf	2.6 msf	+1.5 msf
Deliveries YTD	3.9 msf	1.9 msf	-2.0 msf
Under construction	10.4 msf	3.6 msf	-6.8 msf

Outlook

01

Despite the U.S. Supreme Court invalidating IEEPA tariffs, trade negotiations remain ongoing and may hinder tenants signing longer-term leases.

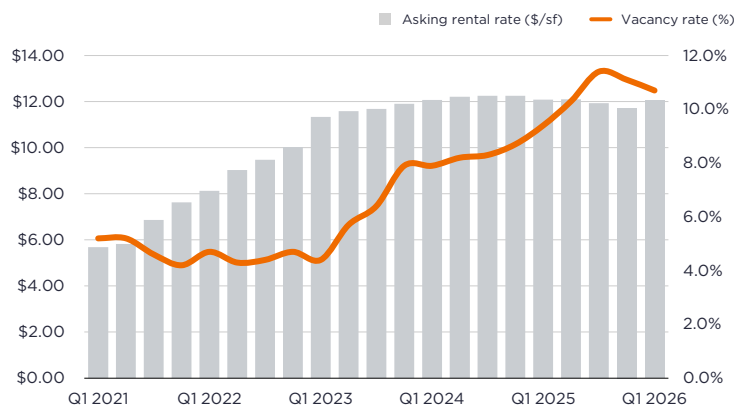
02

The portion of build-to-suit projects may continue to grow as building costs and oversupply still shadow the market.

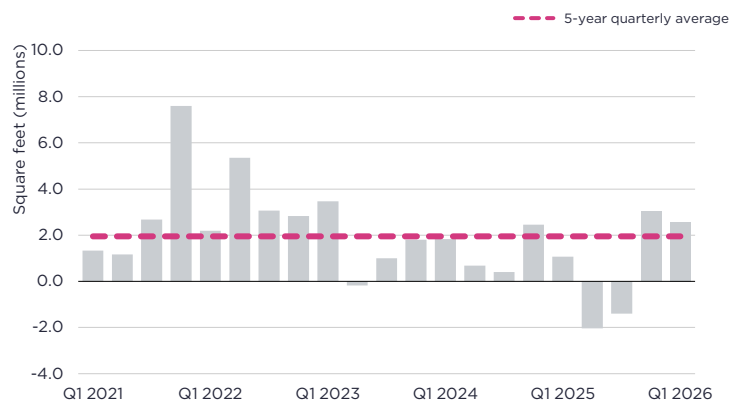
03

There may be an uptick in sublet space returning to the market as retailers and e-commerce firms adjust inventory due to slowing consumer spending.

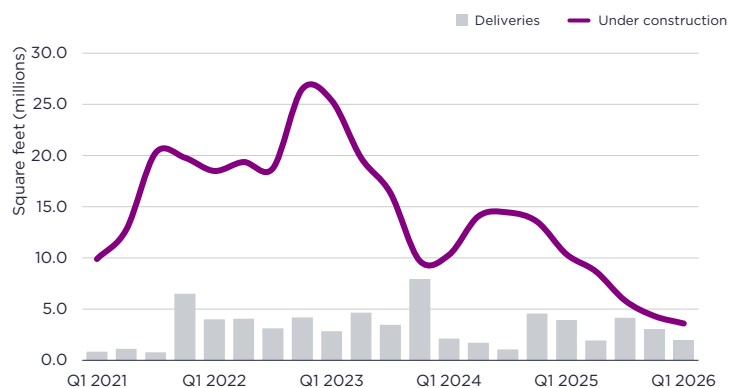
ASKING RENT AND VACANCY



NET ABSORPTION



DELIVERIES AND CONSTRUCTION



NOTABLE LEASES

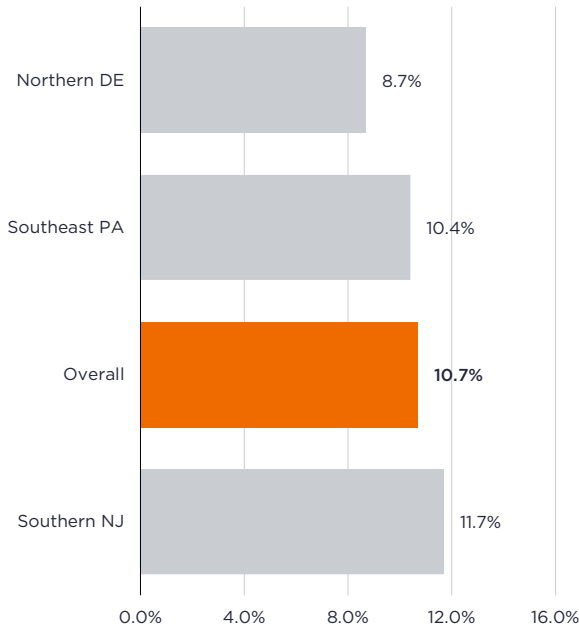
Source: Savills Research

Tenant	Size (SF)	Submarket	Address	Transaction type	Industry
Exol	973,200	Southeast PA	2300 S Pennsylvania Avenue	New Lease	Logistics & Distribution/3PLs
Creative Innovation, Inc.	704,000	Southern NJ	207 Route 73 South	New Lease	Logistics & Distribution/3PLs
EDA Cloud	457,159	Southern NJ	201 Route 73 South	New Lease	Communications / Media / Tech
37 South Warehousing	364,000	Southern NJ	37 S Golfwood Avenue	New Lease	Logistics & Distribution/3PLs
Zenith Logistics, LLC and Onetwo Logistics	337,000	Southern NJ	2057 US Highway 322	Renewal	Logistics & Distribution/3PLs

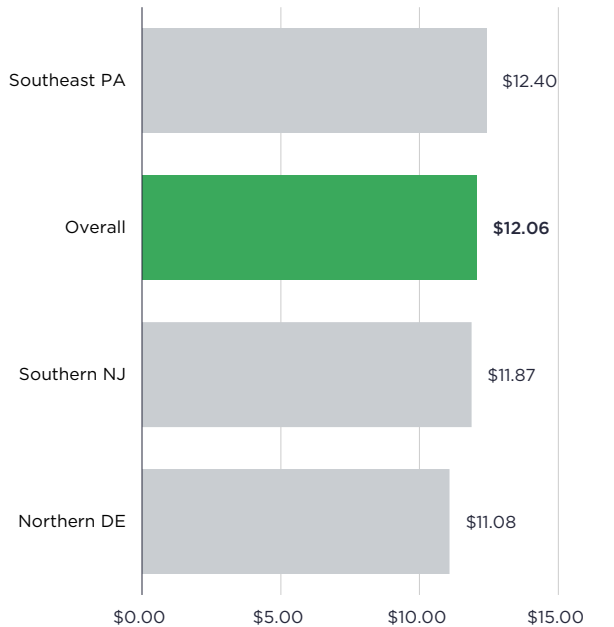
NEW DEVELOPMENTS

Developer / Tenant	Size (SF)	Submarket	Address	Development type	Status
Crow Holdings	208,980	Southeast PA	Heller Road - East Park 309	Speculative (available)	Under Construction
Benaiah Burnich	136,494	Southeast PA	3115 Old State Road	Build-to-suit	Under Construction
Francis E Schultz, Jr.	112,500	Southeast PA	555 Flint Hill Road	Speculative (available)	Under Construction
Crow Holdings	103,552	Southeast PA	2748 Grant Avenue	Speculative (available)	Under Construction
First Eastern Development Company / Edlon	99,000	Southeast PA	Waverly Boulevard - Valley View Business Building B	Speculative (pre-leased)	Under Construction

VACANCY RATE COMPARISON (%)
PHILADELPHIA SUBMARKETS



RENTAL RATE COMPARISON (\$/SF)*
PHILADELPHIA SUBMARKETS



*based on all classes of available inventory

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Unless otherwise noted, all rents quoted throughout this report are average asking net (NNN) rents per square foot. Statistics are calculated using both direct and sublease information. Current and historical vacancy and rent data are subject to change due to changes in inventory. The information in this report is obtained from sources deemed reliable, but no representation is made as to the accuracy thereof. Unless otherwise noted, source for data is Savills Research. Copyright © 2026 Savills